

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER-I-UNIVERSITY EXAMINATION MARCH 2018
MB706.2 FINANCIAL ACCOUNTING (OLD)
MB704.3 FINANCIAL ACCOUNTING (NEW)

Date: 30/03/2018, Friday

Time: 01:30 PM to 4:30 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

- Q.1 (A) Prepare the formats of Balance sheet and Income statement according to Companies Act. 10
- Q.2 (A) Explain the following terms in detail: 05 10
- Types of Share capital
 - Cost of goods sold
- (B) Write a short note on Trial Balance? 05
- Q.3 (A) Identify the accounting concept and explain the concept which would have been crucial when accounting in the manner stated below: 05 10
- I. The capital contributed by the owner is accounted for as a liability.
 - II. Making provision for doubtful debts.
 - III. Rent, though remain unpaid, is still accounted for as part of the periods expenditure.
 - IV. Bansal sold goods for Rs.1, 00,000 for cash in 2006 and the goods have been delivered during the same year.
 - V. The assumption that a business enterprise will not be sold or liquidated in the near future.
- (B) Assuming current ratio is 2:1, state giving reasons, whether this ratio will increase or decrease or will have no change in each one of the following cases: 05
- Cash paid to creditors
 - Payment of a non-current liability
- Q.4 (A) Explain the three major activities of Cash flow statement? 06 10
- (B) The following information of Raja Co. Ltd. is given: 04
- Current ratio= 2.5:1, Acid test ratio= 1.5:1 and current liabilities= Rs.50,000
- Find out- Current assets and Inventory

- Q.5 (A) The following is the extract from the balance sheet of Kick Limited as at 31 05 10 March, 2018.

Share capital	1,50,000	Land and building	2,60,000
Profit and loss account balance	30,000	Plant and machinery	3,50,000
General Retained earnings	40,000	Stock-in-trade	2,00,000
12% Debentures	4,20,000	Sundry debtors	1,00,000
Sundry creditors	1,00,000	Bills receivables	20,000
Bills payable	50,000	Cash at bank	30,000

Calculate the following ratios:

1. Current ratio
 2. Quick ratio
- (B) Explain the process of straight line method and written down value method of depreciation 05

- Q.6 You are required to, 20

- a) Compare the composition of assets and liabilities of the two companies and identify the key differences.
- b) Pero Ponda Motors Ltd. has higher reserves and surplus. What may be the reasons?
- c) Which of the two companies have higher level of liquidity?
- d) Which of the two companies have higher level of borrowed funds?
- e) What is likely impact on the profit and loss account?
- f) Which of the two companies is likely to have higher level of depreciation? Why?
- g) Zech Zahindra Ltd. has large non-current investments whereas Pero Ponda Motors Ltd. has large current investments. What does it indicate?
- h) Justify the difference between the level of sundry debtors and inventories of the two companies.
- i) What is the relevance of debt equity ratio and also calculate?
- j) What do you mean by deferred tax liability and deferred tax asset?

The summarized balance sheets of Pero Ponda Motors Ltd. and Zech Zahindra Ltd. for the year ended 31st March 2017 are given as follows:

Particulars	(Rs. in crores)	
	Zech Zahindra Ltd.	Pero Ponda Motors Ltd.
I) Sources of Funds		
Share Capital	122.30	39.94
Share Application Money	0.20	-
Reserves and Surplus	2,744.20	3,425.08
	2,866.70	3,465.02
Non- Current Liabilities		
Secured Loan-Debentures	750.00	-
Unsecured loan	200.00	66.03
Less: Due within 12 months	(120.00)	-
Non-Current: Provisions for Gratuity and Employee benefits	137.20	4.14
Deferred Revenue	767.70	
Deferred Tax liability	-	152.75
	1,734.90	222.92
Current liabilities		
Unsecured loans – short term	417.20	-
Term loans- due within 12 months	120.00	-
Sundry Creditors	453.30	1,111.44
Advances from customers	10.90	-
Short term provisions	123.30	1,022.21
Other current liabilities	110.10	2,693.62
	1,234.90	4,827.27
Total	5,836.50	8,515.21
II) Application of funds		
Non-Current Assets		
Fixed Assets (Gross Block)	1,112.80	2,750.98
Less: Accumulated depreciation	518.80	1,092.20
Net Block	594.00	1,658.78
Capital work-in-progress	320.80	48.14
	914.80	1,706.92
Long term investments	3,113.90	349.56
Deferred tax assets	22.30	-
Current assets		
Cash and bank Balances	138.00	1,907.21
Current Investment	-	3,576.15
Inventories	1.40	436.40
Sundry Debtors	993.00	108.39
Loans and advances	653.10	405.76
Other current assets	-	24.82
	1,785.50	6,458.73
Total	5,836.50	8,515.21